IB Economics - Topic 4.10: Teacher and AI Grading Guide

Growth and Development Strategies | Questions 1-50

Scope and assessment status

Each original paired question has (a) 10 marks and (b) 15 marks. All 50 questions assess shared SL/HL content. Difficulty: 10 Easy, 25 Medium, 15 Hard pairs, distributed through the bank. Level and difficulty are independent.

Trade, market-oriented, interventionist, aid, multilateral and institutional strategies, their strengths and limits, and progress on SDGs across countries. All shared SL/HL.

The uploaded Economics for the IB Diploma textbook (second edition, 2012) was used for conceptual verification. The current guide controls this topic's numbered scope and HL boundaries.

These are original adapted Paper 1-style practice questions, not official IB examination or marking material. The question bank revisits syllabus mechanisms through distinct explanatory and evaluative tasks; the pairs are alternatives for practice, not separate official learning outcomes.

Coverage blueprint

Trade strategies: Questions 1-10

Market reforms: Questions 11-20

Redistribution: Questions 21-25

Merit goods: Questions 26-33

FDI aid: Questions 34-43

Institutions: Questions 44-50

Marking principles

Use best-fit assessment for each part, not a fixed marks-per-keyword checklist. Credit accurate alternatives addressing the task. Do not require every example or qualification below.

Part (a): 10 marks

Practice bands: 0; 1-2 limited; 3-4 mainly descriptive; 5-6 partial explanation; 7-8 clear and accurate causal analysis; 9-10 fully developed explanation with any required diagram or calculation. These abbreviated bands are not official IB descriptors.

Part (b): 15 marks

Practice bands: 0; 1-3 very limited; 4-6 superficial; 7-9 developed but weakly balanced; 10-12 balanced analysis and evaluation; 13-15 sustained, applied evaluation and supported judgment. A named case alone is not developed application.

Diagram and AI grading

For each diagram explicitly requested, credit an economically correct alternative with proper axes, equilibrium or reference lines, directions of change, and interpretation. Numerical responses require method, units and an explanation; do not award a final number with a contradictory mechanism.

Record separate marks for (a) and (b), band evidence, diagram or numerical features if relevant, economic misconceptions, quality of real-world application, and one actionable improvement per part. If a student drawing is unclear, flag the uncertainty rather than assuming correctness.

Question 1

Easy | SL/HL | 25 marks

Topic 4.10: Trade strategies

(a) [10] Explain how import substitution aims to promote domestic industrial production.

(b) [15] Using real-world examples, evaluate whether protecting domestic industry raises long-term development.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Barriers shelter producers while they develop, but small markets and weak competition can raise costs.

Required reasoning. Barriers shelter producers while they develop, but small markets and weak competition can raise costs.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes trade strategies from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Barriers shelter producers while they develop, but small markets and weak competition can raise costs.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why trade strategies may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 2

Medium | SL/HL | 25 marks

Topic 4.10: Trade strategies

(a) [10] Explain how export promotion differs from import substitution.

(b) [15] Using real-world examples, discuss which trade strategy is more likely to create sustained employment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Barriers shelter producers while they develop, but small markets and weak competition can raise costs.

Required reasoning. Export promotion targets foreign markets; import substitution replaces foreign goods domestically.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes trade strategies from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Export promotion targets foreign markets; import substitution replaces foreign goods domestically.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why trade strategies may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 3

Hard | SL/HL | 25 marks

Topic 4.10: Trade strategies

(a) [10] Explain how export promotion can allow firms to exploit economies of scale.

(b) [15] Using real-world examples, evaluate whether export demand is a reliable basis for development.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Barriers shelter producers while they develop, but small markets and weak competition can raise costs.

Required reasoning. Larger markets allow scale, while external shocks and concentration create risk.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes trade strategies from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Larger markets allow scale, while external shocks and concentration create risk.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why trade strategies may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 4

Medium | SL/HL | 25 marks

Topic 4.10: Trade strategies

(a) [10] Explain why an import-substitution strategy may require imported machinery.

(b) [15] Using real-world examples, discuss whether tariffs on capital goods undermine industrial policy.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Barriers shelter producers while they develop, but small markets and weak competition can raise costs.

Required reasoning. Domestic industry needs equipment, so broad restrictions can raise start-up costs.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes trade strategies from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Domestic industry needs equipment, so broad restrictions can raise start-up costs.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why trade strategies may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 5

Medium | SL/HL | 25 marks

Topic 4.10: Trade strategies

(a) [10] Explain how regional economic integration may expand markets for developing-country firms.

(b) [15] Using real-world examples, evaluate whether integration necessarily benefits all member economies.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Barriers shelter producers while they develop, but small markets and weak competition can raise costs.

Required reasoning. Wider access permits scale but stronger neighbours may dominate production.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes trade strategies from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Wider access permits scale but stronger neighbours may dominate production.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why trade strategies may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 6

Easy | SL/HL | 25 marks

Topic 4.10: Trade strategies

(a) [10] Explain why diversification can reduce dependence on a single primary export.

(b) [15] Using real-world examples, discuss whether diversification always improves export earnings quickly.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Barriers shelter producers while they develop, but small markets and weak competition can raise costs.

Required reasoning. More products spread price risk, while capability building requires time and finance.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes trade strategies from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. More products spread price risk, while capability building requires time and finance.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why trade strategies may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 7

Hard | SL/HL | 25 marks

Topic 4.10: Trade strategies

(a) [10] Explain how a social enterprise can combine revenue generation with a development objective.

(b) [15] Using real-world examples, evaluate whether social enterprises can replace public services.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Barriers shelter producers while they develop, but small markets and weak competition can raise costs.

Required reasoning. Commercial revenue supports a social mission, but scale and financing may limit reach.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes trade strategies from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Commercial revenue supports a social mission, but scale and financing may limit reach.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why trade strategies may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 8

Medium | SL/HL | 25 marks

Topic 4.10: Trade strategies

(a) [10] Explain how trade liberalisation can reduce costs for firms that import inputs.

(b) [15] Using real-world examples, discuss whether liberalisation always increases domestic manufacturing employment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Barriers shelter producers while they develop, but small markets and weak competition can raise costs.

Required reasoning. Cheaper inputs raise competitiveness, but import rivalry can displace some firms.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes trade strategies from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Cheaper inputs raise competitiveness, but import rivalry can displace some firms.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why trade strategies may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 9

Hard | SL/HL | 25 marks

Topic 4.10: Trade strategies

(a) [10] Explain why reducing export barriers in partner countries may matter for development.

(b) [15] Using real-world examples, evaluate whether market access alone guarantees export growth.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Barriers shelter producers while they develop, but small markets and weak competition can raise costs.

Required reasoning. Lower foreign barriers widen demand, contingent on domestic logistics and quality.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes trade strategies from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower foreign barriers widen demand, contingent on domestic logistics and quality.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why trade strategies may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 10

Medium | SL/HL | 25 marks

Topic 4.10: Trade strategies

(a) [10] Explain how a development strategy can combine export promotion with domestic diversification.

(b) [15] Using real-world examples, discuss whether specialisation and diversification must conflict.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Barriers shelter producers while they develop, but small markets and weak competition can raise costs.

Required reasoning. Firms can specialise for export while the economy adds sectors to reduce concentration.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes trade strategies from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Firms can specialise for export while the economy adds sectors to reduce concentration.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why trade strategies may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 11

Easy | SL/HL | 25 marks

Topic 4.10: Market reforms

(a) [10] Explain how privatisation may change incentives for an enterprise to control costs.

(b) [15] Using real-world examples, evaluate whether private ownership necessarily improves service access.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Profit motive can improve efficiency, but monopoly power can raise prices.

Required reasoning. Profit motive can improve efficiency, but monopoly power can raise prices.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes market reforms from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Profit motive can improve efficiency, but monopoly power can raise prices.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why market reforms may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 12

Medium | SL/HL | 25 marks

Topic 4.10: Market reforms

(a) [10] Explain how deregulation can reduce the cost of entering a market.

(b) [15] Using real-world examples, discuss whether fewer rules always encourage inclusive growth.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Profit motive can improve efficiency, but monopoly power can raise prices.

Required reasoning. Lower compliance barriers may enable enterprise, but needed protections can be lost.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes market reforms from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower compliance barriers may enable enterprise, but needed protections can be lost.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why market reforms may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 13

Hard | SL/HL | 25 marks

Topic 4.10: Market reforms

(a) [10] Explain how secure property rights can support private investment.

(b) [15] Using real-world examples, evaluate whether formal property titles are sufficient for development.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Profit motive can improve efficiency, but monopoly power can raise prices.

Required reasoning. Security encourages long-horizon investment and collateral use, subject to enforcement and inclusion.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes market reforms from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Security encourages long-horizon investment and collateral use, subject to enforcement and inclusion.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why market reforms may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 14

Medium | SL/HL | 25 marks

Topic 4.10: Market reforms

(a) [10] Explain why market-based policies may attract inward investment.

(b) [15] Using real-world examples, discuss whether foreign investors always reinvest profits locally.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Profit motive can improve efficiency, but monopoly power can raise prices.

Required reasoning. Predictable rules and market access raise expected returns, but profits may be repatriated.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes market reforms from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Predictable rules and market access raise expected returns, but profits may be repatriated.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why market reforms may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 15

Medium | SL/HL | 25 marks

Topic 4.10: Market reforms

(a) [10] Explain how stronger competition can influence the efficiency of domestic firms.

(b) [15] Using real-world examples, evaluate whether competition policy alone creates high-productivity industries.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Profit motive can improve efficiency, but monopoly power can raise prices.

Required reasoning. Pressure can lower costs, while infrastructure and skills are also necessary.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes market reforms from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Pressure can lower costs, while infrastructure and skills are also necessary.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why market reforms may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 16

Easy | SL/HL | 25 marks

Topic 4.10: Market reforms

(a) [10] Explain why removing a regulation can have different effects on efficiency and environmental quality.

(b) [15] Using real-world examples, discuss whether deregulation should be applied uniformly across industries.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Profit motive can improve efficiency, but monopoly power can raise prices.

Required reasoning. Lower costs can expand output, but removal of safeguards may increase unpriced harm.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes market reforms from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower costs can expand output, but removal of safeguards may increase unpriced harm.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why market reforms may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 17

Hard | SL/HL | 25 marks

Topic 4.10: Market reforms

(a) [10] Explain how a private firm's investment decision may differ from a social optimum when benefits spill over.

(b) [15] Using real-world examples, evaluate whether market incentives alone provide enough education and health services.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Profit motive can improve efficiency, but monopoly power can raise prices.

Required reasoning. Private investors omit wider benefits, so underprovision may arise.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes market reforms from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Private investors omit wider benefits, so underprovision may arise.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why market reforms may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 18

Medium | SL/HL | 25 marks

Topic 4.10: Market reforms

(a) [10] Explain why reducing trade barriers can change income distribution within a developing economy.

(b) [15] Using real-world examples, discuss whether efficiency gains justify transition costs.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Profit motive can improve efficiency, but monopoly power can raise prices.

Required reasoning. Relative prices and labour demand change across sectors, creating winners and losers.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes market reforms from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Relative prices and labour demand change across sectors, creating winners and losers.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why market reforms may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 19

Hard | SL/HL | 25 marks

Topic 4.10: Market reforms

(a) [10] Explain why market reform may require effective legal institutions.

(b) [15] Using real-world examples, evaluate whether privatisation succeeds without strong regulation.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Profit motive can improve efficiency, but monopoly power can raise prices.

Required reasoning. Contracts, competition and property rights affect incentives and outcomes.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes market reforms from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Contracts, competition and property rights affect incentives and outcomes.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why market reforms may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 20

Medium | SL/HL | 25 marks

Topic 4.10: Market reforms

(a) [10] Explain how a market-oriented growth strategy differs from direct government investment.

(b) [15] Using real-world examples, discuss whether one approach should dominate in all economies.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Profit motive can improve efficiency, but monopoly power can raise prices.

Required reasoning. Market reforms change private incentives; public investment supplies services or productive assets.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes market reforms from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Market reforms change private incentives; public investment supplies services or productive assets.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why market reforms may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 21

Easy | SL/HL | 25 marks

Topic 4.10: Redistribution

(a) [10] Explain how progressive taxation can finance poverty reduction.

(b) [15] Using real-world examples, evaluate whether higher tax rates necessarily reduce inequality.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Rising average rates redistribute resources, subject to enforcement and behavioural responses.

Required reasoning. Rising average rates redistribute resources, subject to enforcement and behavioural responses.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes redistribution from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Rising average rates redistribute resources, subject to enforcement and behavioural responses.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why redistribution may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 22

Medium | SL/HL | 25 marks

Topic 4.10: Redistribution

(a) [10] Explain how transfer payments can reduce absolute poverty.

(b) [15] Using real-world examples, discuss whether transfers must create long-term development.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Rising average rates redistribute resources, subject to enforcement and behavioural responses.

Required reasoning. Direct cash lifts current resources; lasting gains depend on work and services.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes redistribution from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Direct cash lifts current resources; lasting gains depend on work and services.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why redistribution may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 23

Hard | SL/HL | 25 marks

Topic 4.10: Redistribution

(a) [10] Explain how a minimum wage can increase earnings for some low-paid workers.

(b) [15] Using real-world examples, evaluate whether it reduces poverty in every labour market.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Rising average rates redistribute resources, subject to enforcement and behavioural responses.

Required reasoning. Higher pay helps covered workers, while employment and household coverage vary.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes redistribution from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher pay helps covered workers, while employment and household coverage vary.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why redistribution may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 24

Medium | SL/HL | 25 marks

Topic 4.10: Redistribution

(a) [10] Explain why targeted support for poorer households can improve access to education.

(b) [15] Using real-world examples, discuss whether cash or direct school provision is more effective.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Rising average rates redistribute resources, subject to enforcement and behavioural responses.

Required reasoning. Income support reduces school costs, while supply and quality constraints remain.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes redistribution from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Income support reduces school costs, while supply and quality constraints remain.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why redistribution may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 25

Medium | SL/HL | 25 marks

Topic 4.10: Redistribution

(a) [10] Explain how redistribution may influence aggregate demand in a low-income economy.

(b) [15] Using real-world examples, evaluate whether the growth effect of transfers offsets their financing cost.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Rising average rates redistribute resources, subject to enforcement and behavioural responses.

Required reasoning. Poorer recipients may spend a high share, while taxes and imports offset some demand.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes redistribution from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Poorer recipients may spend a high share, while taxes and imports offset some demand.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why redistribution may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 26

Easy | SL/HL | 25 marks

Topic 4.10: Merit goods

(a) [10] Explain how public education programmes can raise human capital.

(b) [15] Using real-world examples, evaluate whether enrolment targets are enough to improve development.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Skills and capabilities improve with quality instruction and access.

Required reasoning. Skills and capabilities improve with quality instruction and access.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes merit goods from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Skills and capabilities improve with quality instruction and access.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why merit goods may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 27

Hard | SL/HL | 25 marks

Topic 4.10: Merit goods

(a) [10] Explain how health programmes may raise labour productivity.

(b) [15] Using real-world examples, discuss whether health should be valued only for its effect on GDP.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Skills and capabilities improve with quality instruction and access.

Required reasoning. Disease prevention raises participation and well-being beyond measured output.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes merit goods from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Disease prevention raises participation and well-being beyond measured output.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why merit goods may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 28

Medium | SL/HL | 25 marks

Topic 4.10: Merit goods

(a) [10] Explain why vaccination services can have wider social benefits.

(b) [15] Using real-world examples, evaluate whether public provision is preferable to subsidies.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Skills and capabilities improve with quality instruction and access.

Required reasoning. Fewer infections benefit others, with delivery costs and coverage affecting strategy.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes merit goods from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Fewer infections benefit others, with delivery costs and coverage affecting strategy.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why merit goods may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 29

Hard | SL/HL | 25 marks

Topic 4.10: Merit goods

(a) [10] Explain how clean-water investment can reduce disease and improve learning.

(b) [15] Using real-world examples, discuss whether provision alone ensures sustained development.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Skills and capabilities improve with quality instruction and access.

Required reasoning. Safe supply frees time and reduces illness, requiring maintenance and governance.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes merit goods from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Safe supply frees time and reduces illness, requiring maintenance and governance.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why merit goods may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 30

Medium | SL/HL | 25 marks

Topic 4.10: Merit goods

(a) [10] Explain how transport infrastructure can expand market access for rural producers.

(b) [15] Using real-world examples, evaluate whether roads are more valuable than digital infrastructure.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Skills and capabilities improve with quality instruction and access.

Required reasoning. Lower transport costs help sales, while digital links also connect buyers and services.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes merit goods from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower transport costs help sales, while digital links also connect buyers and services.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why merit goods may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 31

Easy | SL/HL | 25 marks

Topic 4.10: Merit goods

(a) [10] Explain why reliable electricity is important for industrial development.

(b) [15] Using real-world examples, discuss whether expanding supply without affordable tariffs succeeds.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Skills and capabilities improve with quality instruction and access.

Required reasoning. Power reduces downtime, but price, grid access and firm capabilities matter.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes merit goods from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Power reduces downtime, but price, grid access and firm capabilities matter.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why merit goods may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 32

Medium | SL/HL | 25 marks

Topic 4.10: Merit goods

(a) [10] Explain how telecommunications infrastructure can improve market information.

(b) [15] Using real-world examples, evaluate whether connectivity by itself increases incomes.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Skills and capabilities improve with quality instruction and access.

Required reasoning. Better information lowers search costs, conditional on digital skills and network access.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes merit goods from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Better information lowers search costs, conditional on digital skills and network access.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why merit goods may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 33

Hard | SL/HL | 25 marks

Topic 4.10: Merit goods

(a) [10] Explain why investment in sanitation may affect both productivity and equity.

(b) [15] Using real-world examples, discuss whether private suppliers can provide adequate sanitation.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Skills and capabilities improve with quality instruction and access.

Required reasoning. Health improves and excluded communities benefit, while externalities support intervention.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes merit goods from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Health improves and excluded communities benefit, while externalities support intervention.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why merit goods may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 34

Medium | SL/HL | 25 marks

Topic 4.10: FDI aid

(a) [10] Explain how inward foreign direct investment can expand productive capacity.

(b) [15] Using real-world examples, evaluate whether FDI always transfers useful skills.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: New capital and management can raise output, depending on local linkages and training.

Required reasoning. New capital and management can raise output, depending on local linkages and training.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes fdi aid from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. New capital and management can raise output, depending on local linkages and training.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why fdi aid may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 35

Medium | SL/HL | 25 marks

Topic 4.10: FDI aid

(a) [10] Explain how profit repatriation can limit the domestic benefits of FDI.

(b) [15] Using real-world examples, discuss whether foreign ownership should deter investment.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: New capital and management can raise output, depending on local linkages and training.

Required reasoning. Some returns flow abroad, while jobs, taxes and technology may remain domestically.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes fdi aid from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Some returns flow abroad, while jobs, taxes and technology may remain domestically.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why fdi aid may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 36

Easy | SL/HL | 25 marks

Topic 4.10: FDI aid

(a) [10] Explain the difference between humanitarian aid and development aid.

(b) [15] Using real-world examples, evaluate whether emergency aid can contribute to long-term development.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: New capital and management can raise output, depending on local linkages and training.

Required reasoning. Humanitarian aid addresses immediate needs; development aid supports lasting capacity.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes fdi aid from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Humanitarian aid addresses immediate needs; development aid supports lasting capacity.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why fdi aid may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 37

Hard | SL/HL | 25 marks

Topic 4.10: FDI aid

(a) [10] Explain why Official Development Assistance is distinct from private foreign investment.

(b) [15] Using real-world examples, discuss whether aid should be tied to donor priorities.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: New capital and management can raise output, depending on local linkages and training.

Required reasoning. ODA is concessional public support; FDI seeks commercial return and control.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes fdi aid from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. ODA is concessional public support; FDI seeks commercial return and control.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why fdi aid may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 38

Medium | SL/HL | 25 marks

Topic 4.10: FDI aid

(a) [10] Explain how debt relief can release funds for public services.

(b) [15] Using real-world examples, evaluate whether debt relief guarantees productive spending.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: New capital and management can raise output, depending on local linkages and training.

Required reasoning. Lower repayments create fiscal space, conditional on institutions and future borrowing.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes fdi aid from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower repayments create fiscal space, conditional on institutions and future borrowing.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why fdi aid may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 39

Hard | SL/HL | 25 marks

Topic 4.10: FDI aid

(a) [10] Explain how an NGO can deliver services where government capacity is limited.

(b) [15] Using real-world examples, discuss whether NGOs can achieve national scale.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: New capital and management can raise output, depending on local linkages and training.

Required reasoning. Local knowledge can aid delivery, while coordination and finance may constrain reach.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes fdi aid from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Local knowledge can aid delivery, while coordination and finance may constrain reach.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why fdi aid may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 40

Medium | SL/HL | 25 marks

Topic 4.10: FDI aid

(a) [10] Explain how World Bank development lending can support infrastructure.

(b) [15] Using real-world examples, evaluate whether borrowing for infrastructure is always sustainable.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: New capital and management can raise output, depending on local linkages and training.

Required reasoning. Long-term finance funds assets but creates repayment obligations; project returns matter.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes fdi aid from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Long-term finance funds assets but creates repayment obligations; project returns matter.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why fdi aid may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 41

Easy | SL/HL | 25 marks

Topic 4.10: FDI aid

(a) [10] Explain why IMF support may differ from a World Bank development project.

(b) [15] Using real-world examples, discuss whether stabilisation alone leads to inclusive development.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: New capital and management can raise output, depending on local linkages and training.

Required reasoning. IMF commonly supports macroeconomic stabilisation; World Bank projects may target sectors and institutions.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes fdi aid from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. IMF commonly supports macroeconomic stabilisation; World Bank projects may target sectors and institutions.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why fdi aid may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 42

Medium | SL/HL | 25 marks

Topic 4.10: FDI aid

(a) [10] Explain why donor coordination can affect the effectiveness of foreign aid.

(b) [15] Using real-world examples, evaluate whether more aid always improves development outcomes.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: New capital and management can raise output, depending on local linkages and training.

Required reasoning. Duplicative reporting and priorities waste capacity; alignment with needs matters.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes fdi aid from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Duplicative reporting and priorities waste capacity; alignment with needs matters.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why fdi aid may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 43

Hard | SL/HL | 25 marks

Topic 4.10: FDI aid

(a) [10] Explain how foreign aid can reduce a country's immediate financing constraint.

(b) [15] Using real-world examples, discuss whether reliance on external assistance is sustainable.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: New capital and management can raise output, depending on local linkages and training.

Required reasoning. Aid funds services or investment now, but volatility and dependency are concerns.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes fdi aid from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Aid funds services or investment now, but volatility and dependency are concerns.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why fdi aid may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 44

Medium | SL/HL | 25 marks

Topic 4.10: Institutions

(a) [10] Explain how mobile banking can expand access to payments and saving.

(b) [15] Using real-world examples, evaluate whether mobile accounts automatically increase incomes.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Lower transaction costs improve access, subject to network, trust and product suitability.

Required reasoning. Lower transaction costs improve access, subject to network, trust and product suitability.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes institutions from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Lower transaction costs improve access, subject to network, trust and product suitability.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why institutions may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 45

Medium | SL/HL | 25 marks

Topic 4.10: Institutions

(a) [10] Explain how microfinance can support small businesses that lack collateral.

(b) [15] Using real-world examples, discuss whether small loans are sufficient to end poverty.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Lower transaction costs improve access, subject to network, trust and product suitability.

Required reasoning. Credit may finance inventory and tools, while interest, demand and scale limit impact.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes institutions from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Credit may finance inventory and tools, while interest, demand and scale limit impact.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why institutions may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 46

Easy | SL/HL | 25 marks

Topic 4.10: Institutions

(a) [10] Explain how stronger property rights can raise incentives to improve land.

(b) [15] Using real-world examples, evaluate whether formal land titles always benefit the poorest.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Lower transaction costs improve access, subject to network, trust and product suitability.

Required reasoning. Secure tenure supports investment; fees and customary claims may exclude vulnerable users.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes institutions from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Secure tenure supports investment; fees and customary claims may exclude vulnerable users.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why institutions may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 47

Hard | SL/HL | 25 marks

Topic 4.10: Institutions

(a) [10] Explain how reducing corruption can improve the effectiveness of public spending.

(b) [15] Using real-world examples, discuss whether transparency alone removes political capture.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Lower transaction costs improve access, subject to network, trust and product suitability.

Required reasoning. Less diversion increases delivered services, with enforcement and accountability needed.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes institutions from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Less diversion increases delivered services, with enforcement and accountability needed.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why institutions may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 48

Medium | SL/HL | 25 marks

Topic 4.10: Institutions

(a) [10] Explain how greater economic empowerment of women can raise development outcomes.

(b) [15] Using real-world examples, evaluate whether employment initiatives alone secure gender equality.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Lower transaction costs improve access, subject to network, trust and product suitability.

Required reasoning. Access to income and decisions can improve capabilities, while care and legal barriers remain.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes institutions from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Access to income and decisions can improve capabilities, while care and legal barriers remain.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why institutions may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 49

Hard | SL/HL | 25 marks

Topic 4.10: Institutions

(a) [10] Explain how reform of tax collection can increase resources available for development.

(b) [15] Using real-world examples, discuss whether higher public revenue necessarily produces better services.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Lower transaction costs improve access, subject to network, trust and product suitability.

Required reasoning. Wider compliance can fund programmes, conditional on credible allocation and delivery.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes institutions from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Wider compliance can fund programmes, conditional on credible allocation and delivery.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why institutions may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 50

Medium | SL/HL | 25 marks

Topic 4.10: Institutions

(a) [10] Explain why a development strategy should be assessed using progress toward several Sustainable Development Goals.

(b) [15] Using real-world examples, evaluate whether the same strategy can succeed equally in two different countries.

Part (a) - Indicative answer and marking guidance

Essential concepts. Development strategies differ in incentives, public cost, time horizon, distribution, sustainability and institutional requirements. Specifically: Lower transaction costs improve access, subject to network, trust and product suitability.

Required reasoning. Outcomes across poverty, health, education and environment reveal trade-offs; initial conditions and institutions differ.

Expected diagram or calculation. If requested, draw the correct syllabus model, label axes, initial and changed equilibria, and explain the specific mechanism in the question.

Common misconceptions. Distinguish price-level changes from exchange-rate changes, flows from stocks, and an observed correlation from a demonstrated causal effect. Do not require a neighbouring topic as essential knowledge. For this question, check specifically that the student distinguishes institutions from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Outcomes across poverty, health, education and environment reveal trade-offs; initial conditions and institutions differ.

Counterargument and conditions. The impact depends on financing, institutions, policy design, time lags and who receives gains and costs. For this focus, consider why institutions may have a different effect across countries.

Application and real-world example. Use a named programme or reform and compare its objectives with UN SDG and UNDP development outcomes; distinguish correlation from demonstrated policy impact. Credit any accurate alternative example.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Sources and scope

The current IB Economics guide controls syllabus boundaries. The uploaded Economics for the IB Diploma, second edition (2012), is a supplementary conceptual check; its older chapter sequence and content cannot expand the current specification. Real-world examples are optional and should be checked against their cited sources.

IB guide. Current Economics guide, Unit 4 Topic 4.10; syllabus scope, diagrams, calculations and SL/HL boundaries.

Open source

World Bank. Trade and development programmes.

Open source

UN. SDG country goal framework.

Open source

UNDP. Human development outcomes.

Open source

Final checks

50 paired questions; 10 Easy, 25 Medium, 15 Hard; All 50 questions assess shared SL/HL content. The student paper contains no answers or difficulty labels.